IN THE NATIONAL COMPANY LAW TRIBUNAL
BENCH AT ALLAHABAD
COMPANY APPLICATION NO. 421/ALD/ 2018

IN THE MATTER OF:
SECTION 230- 232 OF THE COMPANIES ACT, 2013 READ WITH RULE 3 & 5 OF COMPANIES (COMPROMISES, ARRANGMENTS AND AMALGMATIONS) RULES, 2016

AND

IN THE MATTER OF:
CHAMPION INFRAPROJECTS PRIVATE LIMITED,
(HAVING ITS REGISTERED OFFICE AT C-22, 3rd FLOOR RDC, RAJ NAGAR, GHAZIABAD, UTTAR PRADESH- 201 002)

TRANSFEROR COMPANY
(APPLICANT COMPANY)

WITH

LANDCRAFT DEVELOPERS PRIVATE LIMITED,
(HAVING ITS REGISTERED OFFICE AT PARMESH CORPORATE TOWERS, 309, 3RD FLOOR, PLOT NO. 13, KARKARDOOMA COMMUNITY CENTRE, DELHI – 110 092)

TRANSFEREE COMPANY

ORDER DELIVERED ON 23.01.2019

CORAM:
Hon'ble Mr. Bikki Raveendra Babu, Member Judicial
Hon'ble Ms. Saroj Rajware, Member Technical

For the Applicant: Mr. Shahid kazmi, Advocate.

As Per: Bikki Raveendra Babu, Member Judicial

ORDER

1. The Present Application is filed under Sections 230/232 of the Companies Act, 2013 (herein after referred to as the "Act") read with Rule 3 & 5 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is filed by the Applicant Companies before this Hon'ble Tribunal seeking dispensation of meetings of Shareholders, Secured Creditors and Unsecured creditors of the Applicant/Transferor Company.
2. In the Application, it is stated that the Transferor Company is an un-listed private company registered under the provisions of the Companies Act, 1956. The Authorized Share Capital of the Transferor

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Company is Rs.1,00,000 and Issued, subscribed and Paid up share capital of Rs. 1,00,000 (10,000 equity shares of Rs. 10/- each.)

3. The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and mentioned in Para 3. (a),(b,(c).

   (Copy of MoA and AoA is marked and Annexed as Annexure No. 2 of the application)

4. The Applicant/Transferor Company is engaged in real estate related and allied activities/ business.

5. The Board of Directors of the Applicant/Transferor Company in the meetings held on 8th of August 2018 considered and unanimously approved the proposed Scheme of Amalgamation.

6. The Appointed date of the Proposed Scheme of Amalgamation is 1st April 2018 ***(Copy of Scheme is annexed as Annexure No.1 of the Application)***

7. The main object/ rationale of the Proposed Scheme of Amalgamation are as follows: -

   a. *The Transferor Company is the closely held subsidiary Company of Transferee Company and are under common shareholding, management and control.*

   b. *The proposed merger of the respective Business of the Transferor Company into the Transferee Company would enable consolidation of the entire real state Business of these Companies into one single entity.*

   c. *The proposed merger will streamline the holding structure of Transferee Company and simplify the corporate structure.*

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d. *It will impart better management focus, will facilitate administrative convenience and will ensure optimum utilization of various resources by these Companies.*

e. *The proposed merger will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business in a more scientific manner.*

f. *The proposed Scheme would enhance the shareholders' value of the Transferor and Transferee Companies.*

g. *The said Scheme of Arrangement will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.*

h. *With a view to achieve greater management focus and keeping in mind the paramount and overall interest of the shareholders, the Board of Directors of the Transferor and the Transferee Companies considered that a Scheme of Arrangement would be the most appropriate methodology.*

8. It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against the Applicant Company.

9. It is stated by the Applicant/ Transferor Company that the proposed Scheme of Amalgamation does not envisage any buy back of shares. Save as mentioned above, there is no proposal for reduction of share capital except to the extent of cancellation of any cross holding of shares between the respective Applicant/Transferor Company and the Transferee Company, as the case may be.

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10. The learned Counsel for the Applicant/ Transferor Company filed details of Shareholders, Secured Creditors and Un-Secured Creditors detailed below: -

    (i) The Transferor Company has **Two** Equity Shareholders.

    (ii) The Transferor Company has **NIL** Secured Creditors.

    (iii) The Transferor Company has **Eleven** Unsecured Creditors.

11. It is stated that there are only **2** Equity Shareholders in the Applicant/Transferor Company and all the Equity Shareholders have given their no objection in the form of affidavit to the proposed Scheme of Amalgamation. ***(Copy of list of Equity Shareholders along with Affidavits is annexed as Annexure No 4 of the Application)***

12. It is further stated that there are **Nil** Secured Creditors in the Applicant/Transferor Company as per the Certificate of the Chartered Accountant on the basis of the books of accounts ***(Copy of Certificate of Chartered Accountant is annexed as Annexure 8 of the Application)***

13. It is further stated that there are only **11** Unsecured Creditors in the Applicant/Transferor Company and all the Unsecured Creditors have given their no objection in the form of affidavit to the proposed Scheme of Amalgamation. ***(Copy of list of unsecured creditor of transferor company duly certified along with consent in form of affidavit is annexed as Annexure 7 of the Application)***

14. The Applicant has stated that the accounting treatment proposed in the Scheme of Amalgamation is inconformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. Certificates from the respective Statutory Auditors of the Applicant Company has been filed along with the Application.

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15. Given the facts above as stated in the application, Applicant Company have prayed that:

(i) The convening and holding of the meeting of the Equity Shareholders of the Applicant Company to consider and approve the Scheme of Amalgamation be dispensed with;

(ii) The convening and holding of the meeting of the Creditors (Secured and Unsecured) of the Applicant Company to consider and approve the Scheme of Amalgamation be dispensed.

16. Heard the Ld. Counsel for the Applicant and perused the record available, the following order are passed.

(i) All the Shareholders of the Applicant/Transferor Company have given their written consents by way of affidavits. Therefore, the requirement of convening meetings of the Shareholders of the Transferor Company is dispensed with.

(ii) There are **NIL** Secured Creditor in the Applicant/Transferor Company, hence the requirement of convening and holding separate meetings of the Secured Creditor of the Transferor Company is dispensed with.

(iii) All the Un-Secured Creditors of the Applicant/Transferor Company have given their written consents by way of affidavits. Therefore, the requirement of convening meetings of the Un-Secured Creditors of the Transferor Company is dispensed with.

(iv) Let notices be served by the Applicant Company, as per the requirement of sub-section (5) of section 230 of the Companies Act, 2013 and Rule 6 of Companies (CAA Rules 2016), along with copy of the application and other documents including copy of the Scheme of Amalgamation to the Central Government

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through the office of Regional Director, Northern Region, Ministry of Corporate Affairs, ROC Kanpur, and Income Tax Department stating PAN No of the applicant company and having jurisdiction over the Applicant/ Transferor Company and such other relevant sectoral regulators/ authorities, if applicable, which are likely to be affected by the proposed Scheme, by sending the same by hand delivery or by registered post/speed post within 7 days from date of this order for filing their representations, if any, on the petition within 30 days from date of receipt notice.

(v) The Applicant shall file affidavit within seven days of regarding service of notice.

(vi) The Applicant is further directed to send notice through e-mail and also file affidavit. The notice shall specify that representation if any should be filed before this Tribunal within 30 days of date of receipt of such notices.

Such notices shall be sent under Section 230(5) of the Companies Act, 2013 in specified form (CAA.3) of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

(vii) If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities have no representation/ objection on the proposed Scheme of Amalgamation.

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17. The Company Application bearing No. **421/ALD/2018** is disposed of accordingly.

18. Certified copy of the order may be issued, if applied for, upon compliance with all the requisite formalities.

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(Ms. Saroj Rajware)
(Member Technical)

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(Shri Bikki Raveendra Babu)
(Member Judicial)

Dated: 23.01.2019